

UKRAINE

Table 1 **2022**

Population, million	43.5
GDP, current US\$ billion	150.3
GDP per capita, current US\$	3451.6
Upper middle-income poverty rate (\$6.85) ^a	7.1
Gini index ^a	25.6
School enrollment, primary (% gross) ^b	99.0
Life expectancy at birth, years ^b	71.2
Total GHG emissions (mtCO2e)	144.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2020), 2017 PPPs.

b/ WDI for School enrollment (2014); Life expectancy (2020).

While economic activity had stabilized in mid-2022, attacks on Ukraine's energy infrastructure starting in October have caused disruptions and undermined the recovery. GDP declined by 29.2 percent in 2022 and is expected to grow by only 0.5 percent in 2023. Thanks to international support Ukraine has been able to ensure the delivery of key social services. Continued donor support will be fundamental to maintain these gains.

Key conditions and challenges

While Ukraine's economy has gradually adjusted to the wartime needs, attacks on the electricity network starting in October 2022 damaged over 40 percent of the country's power grid, thereby exacerbating production constraints for select sectors that drove Ukraine's GDP prior to the war. The attacks also imposed additional external pressure by limiting exports and increasing demand for energy-related imports. Ukraine's economic outlook will depend on the evolution of the war and the country's ability to adjust to continued aggression. With a prolonged war increasingly likely, Ukraine faces significant economic challenges. In the near term, maintaining the stable functioning of the war economy is critical. This will involve identifying opportunities to finance the elevated fiscal deficit - driven by the need to ensure defense and social expenditure while tax collection is limited - and domestic debt service. Annual debt service payments (interest and amortization) are estimated at US\$17.6bn equivalent in 2023, of which US\$15bn stem from the amortization of short-term domestic debt. Total fiscal needs are estimated to exceed US\$41bn in 2023. Maintaining macroeconomic stability will also hinge on controlling inflation. In 2022, Ukraine relied on the monetization of residual financing needs. While the central bank has been

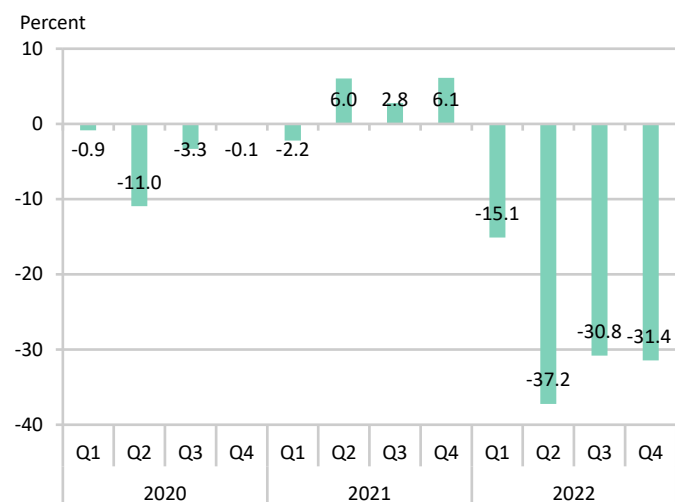
able to effectively neutralize the inflationary impacts of such operations, a central challenge will be to encourage higher rollover rates for domestic banks to eliminate the need for monetization. In the medium term, Ukraine will need to set the conditions for economic recovery by funding capital expenditure and by continuing critical institutional reforms.

Considering these challenges, any stop or delay in external funding may lead to broad negative economic and social consequences. Continued foreign aid inflows are an essential lifeline as they help meet financing needs, balance the current account, and provide a lever for Ukraine to control inflation.

Recent developments

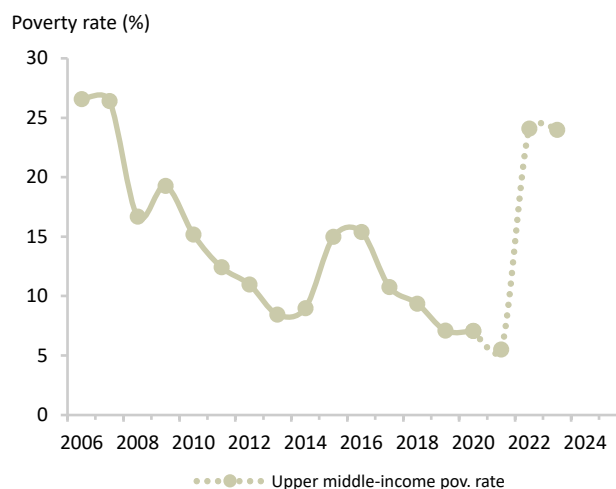
GDP declined by 29.2 percent in 2022. The contraction was less than expected as the UN-brokered grain deal and the return of nearly 4 million migrants boosted economic activity in Q3. The opening of new logistic routes and re-orientation of supply to wartime needs by the private sector added to growth. However, attacks on the electricity infrastructure caused disruptions and a 31.4 YoY contraction in Q4. Inflation stood at 26.6 percent at end-2022. NBU intervened in the currency market to establish an exchange rate peg and mopped up domestic liquidity to control demand, preventing further inflation growth. While the invasion has affected asset

FIGURE 1 Ukraine / Quarterly GDP growth, year-over-year



Source: Ukraine's Statistics Office.

FIGURE 2 Ukraine / Actual and projected poverty rate



Source: World Bank. Notes: see Table 2.

quality in the financial sector, banks have remained profitable and stable. Ukraine's current account surplus was 5.7 percent of GDP in 2022, with grant inflows compensating for a growing trade deficit that reached 16 percent of GDP. Annual exports declined by 30 percent, while imports contracted by only 4 percent. The capital account was under pressure due to the withdrawal of foreign exchange by refugees and outflows of trade financing. This was compensated through loan inflows, that helped restore international reserves to US\$29.9bn, close to the pre-war level. Public finances remain under pressure. The consolidated budget deficit excluding grants amounted to 26.5 percent of GDP in 2022. Tax revenue declined by a nominal 8 percent in nominal terms (30 percent in real terms) as indirect taxes suffered contractions. Direct revenue showed resilience, supported by wage increases in the defense sector. Expenditure grew by 65 percent, with war-related spending and essential public and social services

prioritized. By contrast, capital expenditure declined by 37 percent. The deficit was financed through international assistance and monetization by NBU. Poverty is estimated to have increased from 5.5 percent in 2021 to 24.1 percent in 2022, pushing 7.1 million more people into poverty and retracting 15 years of progress.

Outlook

Despite a localization of active combat, Ukraine's economic outlook remains highly uncertain and is dependent on the duration of the war. The projections assume a continuation of economic activity at the level of 4Q22 into the medium term, adjusting for seasonal effects and accounting for recent improvements in the energy supply. GDP is expected to grow by only 0.5 percent in 2023. Domestic trade and light industries, focused on supplying

the domestic market and meeting wartime needs, are projected to recover gradually. However, agricultural output is expected to decline by about 15 percent due to problems with sowing and a reduction in arable land. Heavy industry output is also expected to remain subdued. Inflation is expected to decline slightly to 18 percent by the end of 2023 as monetary policy continues to contain domestic demand. This scenario is subject to significant downside risks related to a deterioration of the security situation.

The current account is expected to register a 4.5 percent of GDP deficit in 2023 as a widening trade deficit offsets expected secondary income from international grants of around US\$10bn. Exports are estimated to remain low, due to lower agricultural output and persistent logistics bottlenecks. By contrast, imports are expected to increase by a nominal 20 percent YoY, driven by strengthening domestic demand and continued needs for the import of energy-related goods.

TABLE 2 Ukraine / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022e	2023f
Real GDP growth, at constant market prices	-3.8	3.4	-29.2	0.5
Private Consumption	1.7	6.9	-15.5	7.7
Government Consumption	-0.7	0.8	16.7	0.0
Gross Fixed Capital Investment	-21.3	9.3	-80.0	5.5
Exports, Goods and Services	-5.8	-8.6	-60.0	15.0
Imports, Goods and Services	-6.4	14.2	-30.0	20.0
Real GDP growth, at constant factor prices	-3.9	3.4	-29.1	0.5
Agriculture	-11.5	14.4	-25.0	-15.0
Industry	-4.5	1.1	-60.0	1.5
Services	-2.3	2.4	-20.3	2.9
Inflation (Consumer Price Index)	5.0	10.0	26.6	18.0
Current Account Balance (% of GDP)	3.4	-1.6	5.7	-4.5
Net Foreign Direct Investment Inflow (% of GDP)	0.0	-2.4	0.0	0.0
Fiscal Balance (% of GDP)^a	-5.0	-4.0	-26.5	-28.2
Revenues (% of GDP)	39.9	36.3	43.4	39.5
Debt (% of GDP)	60.4	43.3	78.0	97.0
Primary Balance (% of GDP)^a	-2.1	-0.5	-23.8	-24.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	7.1	5.5	24.1	24.0
GHG emissions growth (mtCO₂e)	-3.8	1.7	-33.2	-3.3
Energy related GHG emissions (% of total)	77.8	78.1	73.4	74.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Fiscal Balance and Primary Balance are excluding grants in 2022-2023.

b/ Calculations based on ECAPOV harmonization, using 2020-HLCS.

c/ Projection using neutral distribution (2020) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU. 2022 estimate based on simulation reflecting economic contraction and poverty impacts of inflation. Actual data: 2020. Nowcast: 2021-2022.